

Quarterly Report for Deer Velvet in Korea – Deer Industry New Zealand

March 2015

Latitude



Innovative Business Support & Promotion



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2 Imports

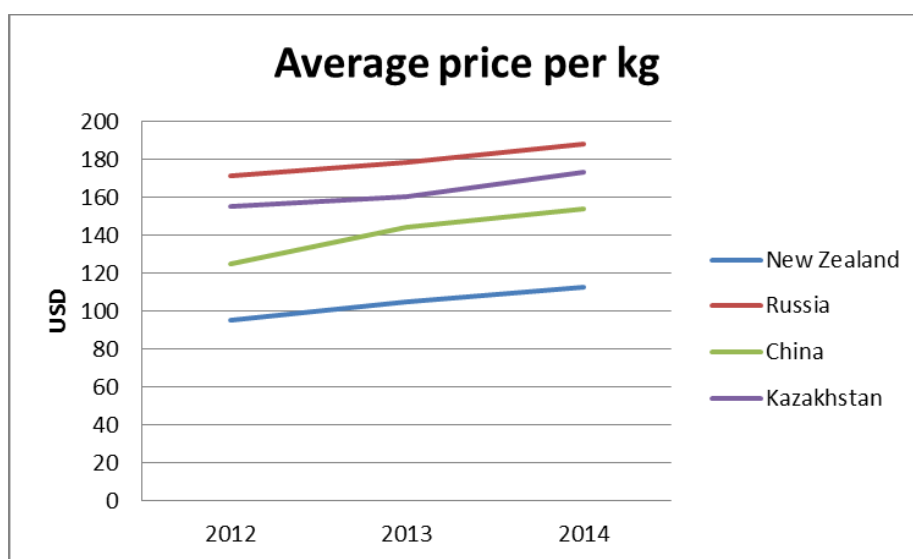
2.1 Velvet Imports

2.1.1 Young Antlers, Whole HS No. 0507.90.1110

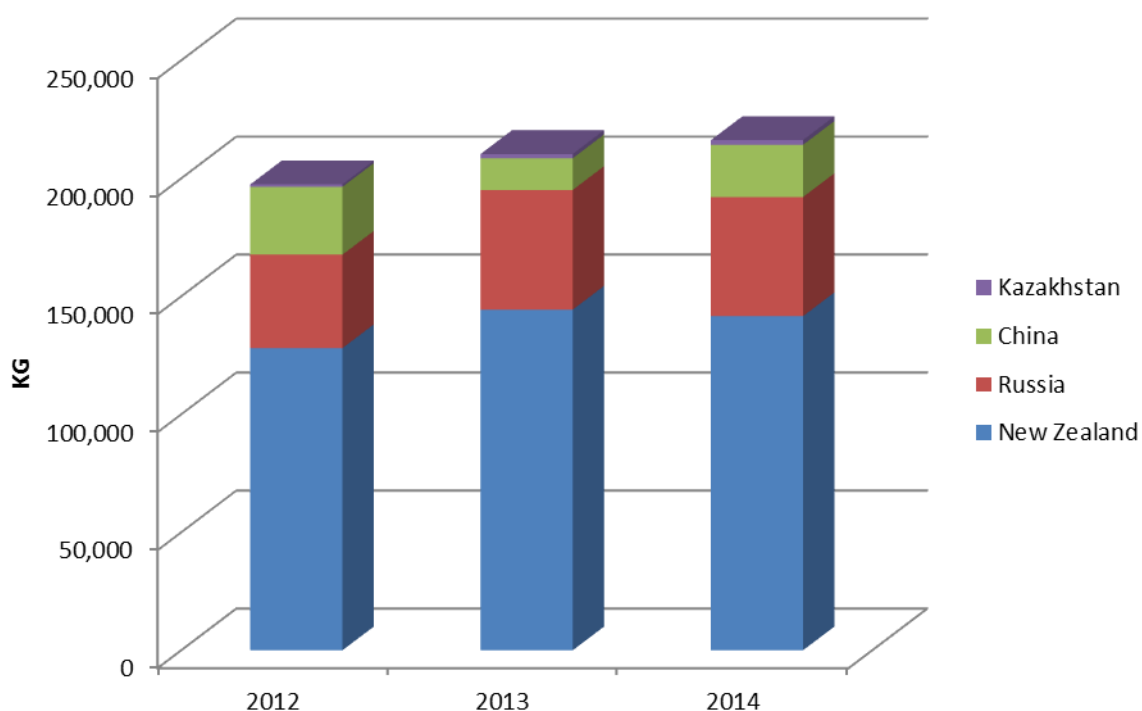
Import statistics for Whole Antler HS code 0507901110

Rank	Country	2012			2013			2014			2015 (Jan)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total sum	22,779	197,907	115.10	26,441	210,317	125.72	29,229	216,214	135.19	2,687	29,997	89.58
1	New Zealand	12,176	128,048	95.09	15,167	144,391	105.04	15,990	141,628	112.90	2,337	28,245	82.74
2	Russia	6,801	39,615	171.68	9,052	50,712	178.50	9,481	50,459	187.90	350	1,752	199.77
3	China	3,584	28,731	124.74	1,936	13,427	144.19	3,413	22,135	154.19	0	0	-
4	Kazakhstan	165	1,063	155.22	286	1,786	160.13	344	1,986	173.21	0	0	-
5	Australia	54	450	120.00	0	1	0.00	1	6	166.67	0	0	-
	NZ Share (%)	53.45	64.70		57.36	68.65		54.71	65.50		86.97	94.16	

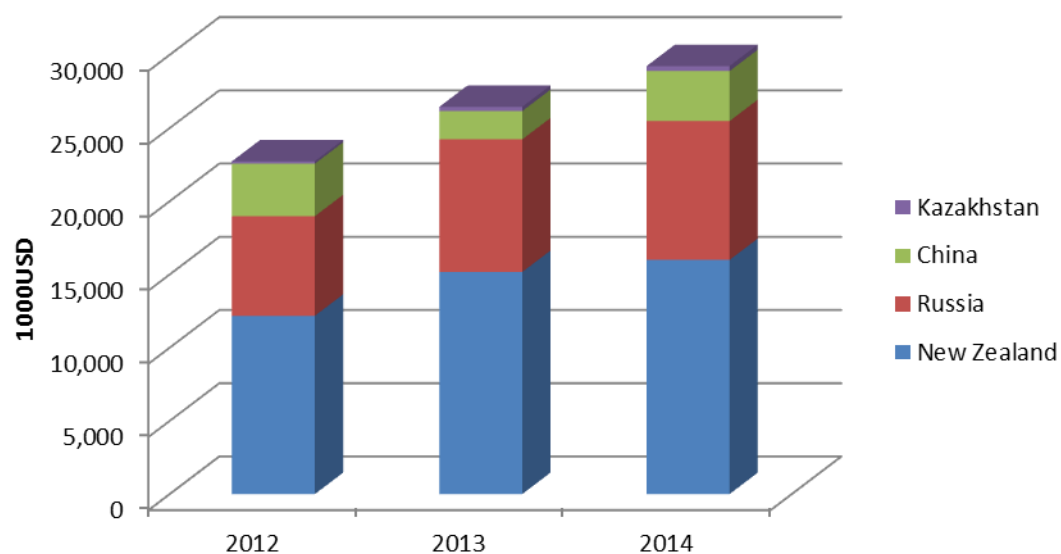
Value = USD 1,000, Weight = kg



Whole velvet imports by volume



Whole velvet imports by value



2.1.2 Young Antlers, Other HS No. 0507.90.1190

Import statistics for young Antler, Other HS code 0507901190

Rank	Country	2012			2013			2014			2015 (Jan)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total sum	81	77	1,052	80	59	1,356	75	82	915	5	8	625
1	New Zealand	52	28	1,857	55	32	1,719	44	10	4,400	3	3	1,000
2	Australia	29	49	592	25	27	926	30	72	417	2	5	400
	NZ Share (%)	64.20	36.36		68.75	54.24		58.67	12.20		60.00	37.50	

Value = USD 1,000, Weight = kg

2.2 Quarantine Statistics of Deer Velvet from Major Exporters

2.2.1 Full year

These include hand-carried velvet by tourists. The countries are not country of origin but export

COUNTRY	JAN 13 - DEC 13		JAN 14 - DEC 14	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	24,152.19	74,724.73	14,293.645	74,298.090
China	54,942.06	10.32	78,296.362	5.150
Russia	43,139.99	1.3	34,369.260	-
Hong Kong	11,322.04	-	20,976.140	-
Singapore	-	-	2,240.900	-
Kazakhstan	1,785.45	-	1,985.600	-
Australia	56.41	6.16	54.890	16.645
USA.	20.15	0.08	29.775	0.800
Thailand	-	23	-	-
Others	11.75	1.45	17.020	2.930
Total	135,435.54	74,767.04	152,263.592	74,323.615
Overall Total	210,202.57		226,587.21	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

2.2.2 Quarantine Fail

The following statistics from the NVRQS give an indication of product that has been rejected on import. While 'banned origin' shows only a small volume it is

likely that the 'No COQ' would also reflect product that did not have the appropriate documents from the country of export.

COQ = Certificate of Quarantine (Phytosanitary Certification)

Sanitary = Sanitary condition violation

COUNTRY	JAN 13 - DEC 13		JAN 14 - DEC 14	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	No COQ 2.8	-	No COQ 8.3	Sanitary 1,600.0
China	No COQ 790.0 Banned origin 2.2	Banned origin 10.3	No COQ 129.6 Drying defect 1.4 Banned origin 46.2	Banned origin 4.0 No COQ 1.2
USA.	No COQ 1.3 Banned origin 17.8	Banned origin 0.1	Banned origin 29.7	Banned origin 0.8
Canada	Banned origin 5.4	-	Banned origin 4.8	Banned origin 0.4
Japan	Banned origin 0.4	Banned origin 1.5	Banned origin 1.2	Banned origin 2.6
Thailand	-	Banned origin 23.0	-	-
Others	Banned origin 11.4	1.3	Drying defect 0.1	-
Total	831.2	36.1	221.3	1,608.9
Overall Total	863.7		1,830.1	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

3 Korean news

3.1 "Deer = velvet? Now check out venison"

- The Rural Development Administration has commented on the high nutritional value of venison, when it is best to produce and how to store it and cooking methods.
- Noted that venison is low in fat and has a soft texture. High in protein, vitamin B, minerals, low in fat and cholesterol.

- Noted that NZ's deer industry sales are comprised of 80% venison sales.
- RDA is currently undertaking a project looking into venison production.

Ecotimes, October 7th 2014¹

3.2 Shinsegae Centum City “Being Healthy in the New Year”



- Shinsegae Centum City's Jeong Gwan Jang store showing Cheonnoksam, released in stores in December.
- Mentions that the deer velvet is from deer raised in clean green New Zealand, and that there is a synergy effect with red ginseng.
- Carrying out a sales event where customers who purchase Cheonnoksam also receive another bonus KGC product.

Ilyo News, January 5th 2015²

3.3 Deer velvet product for Chinese tourists in Korea (Cheonnoksam)

- Mentions that deer velvet is high in calcium and magnesium, good for strengthening muscle, bones and organs.
- Cheonnoksam contains 60g of deer velvet mixed with red ginseng and other ingredients to make a product that is aimed at middle-aged consumers.
- A KGC representative stated: “As deer velvet is, among other things, known to be good for restoring energy, this product should have a high level of demand from middle-aged consumers. We are also planning to export this product into other East-Asian markets where deer velvet is popular.”
- Cheonnoksam is aimed at Chinese tourists to Korea, and sold in department stores and duty free shops.

¹ <http://www.ecotiger.co.kr/news/articleView.html?idxno=11362>

² http://ilyo.co.kr/?ac=article_view&entry_id=107390#

- Mentions that in order to ensure quality and confidence in the product, 2 years prior a KGC deer velvet purchasing team was created. Quality has been guaranteed by Deer Industry NZ, and has satisfied Jeong Gwan Jang's rigorous quality protocol.

Chosun Biz, January 28th 2015³

3.4 Fresh deer velvet can now be legally distributed

- Fresh deer velvet can now be legally distributed as a food item.
- The Korea Deer Association has been petitioning the Ministry of Food and Drug Safety since April of 2014, and have finally received the revision they were after on February 3rd 2015.
- The revision puts fresh deer velvet as a food item, with the conditions for this being that it is stripped of hair, and washed in water of 90 degrees celcius or above three or more times. Packing, storage and distribution must take place in frozen state, and it can only be used in manufactured extract food products.
- A representative for the Korea Deer Association stated that this development opens opportunities to invigorate the fresh deer velvet market and contribute to increased earnings for farmers. The Association will do all it can to educate farmers of this new potential and make the most out of this opportunity.

Nongchuk Distribution News, February 6th 2015⁴

³ http://biz.chosun.com/site/data/html_dir/2015/01/28/2015012800046.html

⁴ <http://www.amnews.co.kr/news/articleView.html?idxno=15120>

3.5 Korea Deer Association promotes deer velvet at Cheonggae Stream



- Korea Deer Association holds a promotion event on March 1st at Cheonggae Stream in Seoul.
- This promotion event focused particularly on local hikers.

Chuksan News, March 4th 2015⁵

3.6 KDBA demands government assistance

Following the conclusion of the NZ-Korea FTA negotiations, KDBA requesting assistance from Korean government for sales, processing and disease related issues to counter expected negative effects. These requests are broken down into six areas:

Action	Budget
Funds for purchase of deer velvet - Bulk purchase of velvet farmers' surplus product by Korea Deer Association; provision of velvet products to manufacturing companies ; creation of new distribution system. - Alleviation of velvet farmers' financial difficulties via creation of market for fresh velvet.	3 billion won
Support for artificial insemination	1.6 billion won

⁵ <http://www.chuksannews.co.kr/news/article.html?no=92729>

- Development of superior product for artificial insemination - Target: 3,096 Elk (female) (60% of the 5,160 Elk females that are 18 months or older) - 500,000 won per head (250,000 won for sperm, 250,000 won for procedure/drugs)	
Easing regulations on support of the velvet production industry. - Adjusting regulations so support can be received from a variety of manufacturing companies. - Loan support conditions: 3% interest, repayment within 2 years → 1% interest, repayment within 5 years	5 billion won
Support for individual registration system for deer (tracking system) - Through support of individual registration, establishing a system for the prevention of disease, and increased productivity through quality control.	3 billion won
Compulsory use of a certain amount of fresh velvet (20~30%) by those manufacturers that produce products with local deer velvet. Development of system equipment through incentives such as financial support.	Financial policy support, legislative alignment
Expansion of financial support related to disease and loss of business/closure - Current compensation 60% → 100% - Financial compensation in the event of closure of business due to total loss of stock	Modification of legislation

Korea Deer Times Feb 25th 2015

3.7 Number of deer farmed in Korea

	Spotted Deer	Red Deer	Elk	Reindeer	Other	Total
2002	93,489	9,487	59,519	402	1,541	164,438
	(56.9)	(5.8)	(36.2)	(0.2)	(0.9)	

2003	87,377 (60.3)	8,478 (5.8)	47,117 (32.5)	213 (0.2)	1,714 (1.2)	144,926
2004	81,453 (58.9)	7,724 (5.6)	46,112 (33.3)	671 (0.5)	2,342 (1.7)	138,302
2005	73,775 (58.7)	7,180 (5.7)	42,773 (34.0)	496 (0.5)	1,429 (1.1)	125,653
2006	63,413 (57.6)	5,568 (5.1)	39,157 (35.5)	216 (0.2)	1,804 (1.6)	110,158
2007	55,299 (56.5)	4,865 (5.0)	34,972 (35.7)	506 (0.5)	2,214 (2.3)	97,856
2008	42,630 (54.1)	4,121 (5.2)	28,996 (36.8)	537 (0.7)	2,569 (3.2)	78,853
2009	42,618 (56.6)	3,686 (4.9)	26,799 (35.6)	390 (0.5)	1,779 (2.4)	75,272
2010	35,828 (55.2)	3,333 (5.1)	23,673 (36.5)	665 (1.0)	1,428 (2.2)	64,927
2011	30,240 (58.8)	2,341 (4.6)	17,447 (33.9)	116 (0.2)	1,267 (2.5)	51,411
2012	26,421 (54.6)	1,987 (4.1)	17,850 (36.8)	56 (0.1)	2,149 (4.4)	48,463
2013	22,799 (54.4)	1,868 (4.5)	15,989 (38.2)	230 (0.5)	988 (2.4)	41,874

Korea Deer Times, November 10th 2014

3.8 Current state of the deer industry

- In 2013 the annual production value of the deer industry was 66.1 billion won (around US\$62 million), this accounts for 0.4% of the livestock industry in Korea.
- The number of farms and deer continue to drop:

- o Production value (production volume): (2004)121.6 billion won (203MT) – (2009)79.5 billion won (131MT) – (2013)66.1 billion won (84MT)

Category	'04 (MT)	'07 (MT)	'10 (MT)	'13 (MT)
Distribution volume (A=a+b)	823	762	568	418
Local production volume (a)	203	163	119	84
Import volume (b)	620	599	449	334
Consumption volume (B=c+d)	823	762	568	418
Local consumption volume (c)	804	760	564	411
Export volume (d)	19	2	4	7
Self-sufficiency ratio (a/c, %)	25.2	21.4	21.1	20.4

The Korea Deer Times, Dec 25th 2014

3.9 Increased growth, and strong bones - YD1104

- YD1104 is receiving attention as a treatment that can aid in the growth of young children and students.
- Presented at the ICOM international symposium in Taiwan in the first week of November by Kim Nam-Seon OMD of Yeong-Dong Haniwon. Doctor Kim was also responsible for the development of this treatment.
- Focuses on supporting bone marrow in its role in supporting growth.
- Doctor Kim uses deer antler and deer velvet as main ingredients in this treatment. The pantocrine in these ingredients helps to create strong bone marrow.

Joongang Ilbo, November 10th 2014⁶

⁶ http://life.join.com/travel/news/article.asp?total_id=16368942&ctg=1601

3.10 Deer Velvet Vitality Plus

- After two years of research, Mayjune Life & Health developed a deer velvet extract that has twice the effect of regular velvet.
- Mixes this with other traditional ingredients.
- Use local velvet.
- Developed in conjunction with Kyung Hee University.



MK News, February 13th 2015⁷

3.11 Jonggeundang Health - Chimhyanghwan

- Jonggeundang Health has released a new product, 'Chimhyanghwan' using deer velvet extract, red ginseng and other traditional ingredients.



⁷ <http://news.mk.co.kr/newsRead.php?year=2015&no=148296>

Money Week, February 2nd 2015⁸

3.12 Deer Velvet Health Drinks Banned from using Oriental Prescription Remedy Names

- The KDFA has announced that Deer Velvet Health Drinks will attract heavy fines if product names match those of oriental medicine prescription remedies. The focus of the announcement is not deer velvet itself, but those products that are based on oriental medicine prescriptions in general. The KDFA has vowed to police these restrictions more tightly and has made the announcement to manufacturers and home shopping channels.
- The KDFA has elected to take these measures as home shopping sales of such products continue to increase, and threaten the traditional Oriental medicine market.

The Korea Deer Times, Nov 25th 2014

⁸ <http://www.moneyweek.co.kr/news/mwView.php?no=2015021013238021617>

3.13 OMD Gyeong-Jae Lee's Deer Velvet Product Released



- OMD Gyeong-Jae Lee's deer velvet health drink product was released on Lotte Homeshopping channel on December 23rd.
- Manufactured by Newtree Biotech. Local deer velvet promoted as main ingredient, also has a number of other traditional ingredients.

Korea Deer Times, Dec 25th 2014

3.14 The Korea Deer Times- Major Issues Facing the Deer Industry in 2015

(a few of the most relevant issues are translated below)

- a) Foot and Mouth 'Emergency' still a threat
 - There remain fears that the foot and mouth epidemic that began on the December 3rd 2014 in Jincheon may be spreading nationwide.

- b) Deer Velvet experiencing high levels of popularity as ingredient in health products
 - In 2014 there were an increased number of health products using deer velvet as an ingredient.
 - In the mid 1990's snail extract, deer velvet, black goat, and various traditional plants all enjoyed popularity at various times. Following this red ginseng went from strength to strength for around 10 years and dominated the health food market. Now deer velvet looks to be appearing as red ginseng's successor.
 - Following the red ginseng price bubble, products containing a range of substitute ingredients were released, but the majority did not last in the market for more than two or three months. In comparison to this deer velvet has remained a popular choice, and at the end of 2014 deer velvet products were enjoying high popularity on home shopping networks.

- c) Stricter Monitoring of Exaggerated Health Food Advertisements – Sales Fall
 - A more focused monitoring of the exaggerated advertisements for health food products has become one of the focuses of the Korean government.
 - Deer velvet sales have felt the effect of this, and according to the National Police there were 135 cases of exaggerated advertising of deer velvet from January to June 2014. 89 of these cases were for exaggerated advertising using such methods as expert speakers and concerts; the next largest at 20 cases was exaggerated advertising after gathering together senior citizens under the guise of free tourism.

- d) Deer Product Imports... Deer Velvet Down, Venison Up
 - Overall imports of deer velvet are falling by the year. According to Korean customs, in 2013 334MT of dried velvet, and 204MT of venison were imported. Imports of velvet dropped from 490MT in 2009 to 388MT in 2012. Industry insiders attribute this decrease to the generally poor state of the economy over this period, and expect to see a drop in 2014 imports also when the figures are released.
 - Venison imports, on the other hand, increased from just 7MT in 2008 to 204MT in 2013.

- e) Korea Deer Velvet Academy (*translated by Latitude, unsure of actual English name*) is Established
 - The First Academy of Korea Deer Velvet was established in October 2014, a body which will focus on velvet related research.
 - The Academy plans to hold three conferences over the course of 2015, in May (domestic), July (international) and November (domestic). It also plans to release two publications, one in January and one in July.
 - The Chairman of the Academy is Mr Byeong-Tae Jeon.

Korea Deer Times, Feb 25th 2015

3.15 Korean, Canadian elk breeders working to improve trade

Posted Apr. 6th, 2015 by Mary MacArthur

EDMONTON — The president of the Korea Deer Breeders Association recently visited Canada to demonstrate the growing good will between the two countries.

“Between us as Korean deer farmers and Canadian elk farmers, we will be talking together to make a better relationship as better farmers for a better future for both of us,” said Yu-Hwan Chung through an interpreter.

Chung raises about 450 elk on two farms in South Korea.

Alberta Elk Commission chair Connie Seutter met Chung during a recent trade mission to South Korea, where they forged a memorandum of understanding between the Canadian and Korean elk industries.

The two organizations have yet to sign the memorandum, but they have agreed to exchange technology, best farm practices, research and development of unique technologies and semen to improve genetics.

The memorandum also included working with both governments to reopen markets to elk velvet antler, processed antler and a live animal and meat export.

Canada has been locked out of the lucrative South Korean elk market for 14 years. Korea closed its border to Canadian elk products in December 2000 after an elk exported from Canada later tested positive for chronic wasting disease.

Elk producers have lobbied Canadian officials to help reopen the border, but there has been little willingness from Korea to do so.

“When the topic of the MOU came up, I was blown away,” Seutter told elk producers at their convention.

Korea’s 4,000 elk farmers raise 20,000 elk that produce 100 tonnes of green elk velvet a year. They import another 500 tonnes of elk and still can’t fill demand.

Seutter said she had received nothing but negative information from the Canadian trade office in the weeks leading up to her trade mission to South Korea, including a phone call that the Koreans didn't want Seutter visiting their country.

"They were telling me, 'I don't know why you're coming, they don't want you here. They don't like you and in fact they hate you so I don't know why you're wasting your time,' " she said.

Seutter met with Chung during the organized trade event and later travelled to Chung's farm, where the pair hammered out the memorandum of understanding between the two industries.

"This is a really special moment today to have Mr. Chung here with such a desire to work with our industry," she said while introducing Chung.

Chung said Korean elk producers want to reopen the border to Canadian elk and elk products.

"We need to develop new producers plus need to expand the number of deer (which is what elk are called in Korea)," he said.

"It is not my own desire, it is all our desire as deer farmers to reopen the market."

Despite the desire of elk producers in both countries to reopen the border, it is up to politicians to remove barriers to trade.

A second trip to Korea and China is planned to formalize the agreement and discuss future trade opportunities.